

Strategic planning – a resurrection

How does Ripose support strategic planning and why should you consider using Ripose ahead of other strategic planning techniques?

Michael Porter the world-renowned Harvard business school professor has written a great deal about strategic planning. According to an article in Fast Company magazine - March 2001, Professor Porter has re-entered (a resurrection) the strategic planning arena. In this article it is claimed, "strategy has lost its intellectual currency. It was losing adherents" - see <http://www.fastcompany.com/online/44/porter.html>.

Support

It is our assertion that the major cause of the decline in the use of strategic planning lies in the techniques used to support strategic planning endeavors. As part of our research, we at Ripose have looked at several techniques and analysed the steps that people need to complete in order to achieve the strategic planning outcomes. The costs vary between \$760,000 and \$4 million and the time taken between 70 and 421 working days. This is clearly unacceptable to any organisation that looks to spend the same amount of time and money on developing their systems to support their strategies.

Delivery

If strategic planning takes too long to deliver, costs too much, increases management stress levels and provides little value, the net result is an increased spend on systems, some of which may be the wrong ones to begin with.

According to one source (The Standish Group), the average spend on an information technology development project varies between half a million and 2.4 million dollars. Each year, in the USA alone, over \$250 billion are spent on more than 175,000 projects.

The number of development projects which meet senior management objectives (ie. succeed) ranges between 16% and 25%. In other words, between 75% and 84% fail. An estimated 60% of failures can be attributed to the lack of quality knowledge management - strategic planning.

Quality knowledge

Improving the quality of knowledge of the business requirements can dramatically reduce failures. This must be done before committing further resources (people, time and money) to develop/purchase and implement the physical solutions/packages.

The Ripose Technique will produce a quality knowledge map at a cost of between 2% and 11% of the total cost of just one development project and will not only highlight which systems require developing as projects, but also those projects/systems best avoided in the short term.

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A success story

In July 2000 a dotcom selected Ripose to use the Ripose 7-step approach to assist in the development of a web site strategy - see <http://www.Ripose.com/Testimonials>. In March 2001 the organisation remained one of the top 5 sites as a result of many of its competitors either going out of business or not focusing on the target market. The Ripose technique and deliverables helped demonstrate the folly of implementing a registration system, an undertaking that would have cost a considerable amount and would not have significantly increased traffic!

Comparative analysis

The following table is the result of our extensive research into several strategic planning techniques. Detailed analysis and a comparative analysis are also available. The 'Total cost' column comprises management and consulting costs. The 'Ripose benefit' figure highlights how much you could save by using Ripose.

Technique	Days	Total Cost	Ripose benefit	Elements	Cost/element	Techniques	
Ripose	26	\$181,256	-	578	\$314	BP	Best practices
BP-BS-ST	70	\$765,417	4.2	551	\$1,389	BPR	Business process reengineering
BPR-Proforma	76	\$835,083	4.6	543	\$1,538	BPRS	BPR educational organisation
BP-SP-OO	84	\$927,300	5.1	1,339	\$693	BS	Balanced scorecard
BP-BS-OO	89	\$983,033	5.4	1,411	\$697	DS	Davenport & Short
BP-SP-ST	108	\$1,190,933	6.6	479	\$2,486	ECOPI	Electronic College of process innovation
BPR-KBSI	110	\$1,206,700	6.7	1,607	\$751	Govt	Government Dept directive
BP-BS-IE	119	\$1,310,833	7.2	901	\$1,455	IE	Information engineering
BP-SP-IE	127	\$1,397,000	7.7	948	\$1,474	KBSI	Knowledge Based Systems Inc
BPR-DS	150	\$1,662,461	9.2	1,478	\$1,125	OO	Object orientation
BPR-BPRS	161	\$1,767,333	9.8	1,145	\$1,544	SP	Strategic planning
BPR-ECOPI	161	\$1,774,667	9.8	972	\$1,826	ST	Structured technique
Traditional	185	\$2,035,000	11.2	1,660	\$1,226		
Govt	421	\$4,633,933	25.6	1,687	\$2,747		

The high number of elements in some techniques is due to redundancies. The only way some techniques eliminate these elements is to use a lengthy integration step. Ripose uses a rapid top down approach, which naturally integrates elements at each step thus eliminating redundancies and associated costs.

About us

Ripose specialises in providing information management professional services. We produce high quality deliverables from strategic plans to implemented solutions rapidly with the Ripose conceptual and logical compilers.

Contact us

You owe it to yourself and your organisation to discuss the Ripose Technique with a Ripose associate and receive access to white papers, fact sheets and/or our presentations.

For more information, please visit our web site at <http://www.Ripose.com>, or contact us.